

Employee Advance Policy Settings Guide

How administrators configure eligibility, limits, interest, approval rules, and employee access.

Audience	Super Admin / School Admin / HR configuration users
Module	HRM / Employee Advance
Purpose	Practical user guide based on the current Employee Advance workflow.

Important: Actual eligibility, limits, interest, approval, and recovery behavior are controlled by the active policy configured by the school.

1. What the Advance Policy Controls

The policy is the rulebook used by the system before an employee can submit an advance request. The system finds the active policy applicable to the employee department, checks completed service, reads the employee salary structure when required, and calculates the maximum eligible amount.

2. Policy Fields Explained

Setting	Meaning	Effect
Policy Name	A clear administrative name for the rule set.	Helps administrators identify the policy applied to a request.
Department	Department to which the policy applies.	The employee must have a department and an applicable active policy.
Calculation Basis	FIXED, BASIC, or GROSS.	FIXED uses the configured maximum amount. BASIC/GROSS uses the relevant salary multiplied by Maximum Salary Months.
Eligibility After Months	Minimum completed service months.	Employees with less completed service are not eligible yet.
Maximum Salary Months	Salary multiplier used for BASIC/GROSS calculation.	Example: basic salary 20,000 x 2 months = calculated limit 40,000.
Maximum Amount	Absolute cap; also the amount used for FIXED basis.	For salary-based policies, the system takes the lower of calculated salary limit and maximum amount when a positive cap is configured.
Minimum Amount	Smallest permitted request/approval amount.	Requests below this value are rejected by validation.
Maximum Installments	Maximum number of recovery installments.	Employee cannot request more; approver cannot approve more.
Interest Type	NONE, FLAT, or PERCENTAGE.	Determines how interest is added to the approved amount.
Interest Rate	Percentage used when interest type is PERCENTAGE.	$\text{Interest} = \text{approved amount} \times \text{rate} / 100$.
Flat Interest Amount	Fixed interest used when type is FLAT.	A fixed amount is added to the approved amount.
Allow Multiple Advance	Whether an employee may have more than one active/open advance.	When disabled, an existing active advance blocks a new request. Completed/rejected/cancelled advances should not block a later request.
Approval Required	Whether manual approval is required.	When disabled, a valid request is auto-approved under the policy; otherwise it starts as PENDING.

3. Eligibility Calculation

FIXED basis: Eligible amount is the configured Maximum Amount.

BASIC basis: Basic Salary x Maximum Salary Months, optionally capped by Maximum Amount.

GROSS basis: Gross Salary x Maximum Salary Months, optionally capped by Maximum Amount.

If BASIC or GROSS is selected, the corresponding salary must be configured for the employee. The system also requires an employee department and an active applicable policy.

4. Interest Examples

Type	Example
NONE	Approved 40,000 -> Total recoverable 40,000.
FLAT	Approved 40,000 + flat interest 2,000 -> Total recoverable 42,000.
PERCENTAGE	Approved 40,000 + 5% interest 2,000 -> Total recoverable 42,000.

5. Recommended Setup Sequence

- Create or verify employee departments.
- Ensure salary structures are configured when BASIC or GROSS calculation is used.
- Create an advance policy for the appropriate department.
- Set service eligibility and financial limits.
- Choose installment and interest rules.
- Decide whether multiple active advances are allowed.
- Decide whether requests require manual approval.
- Activate the policy and test with an employee account.

6. Important Administration Notes

Policy values are copied as snapshots into the advance request when it is created. This preserves the rules used for that request even if the policy is changed later.

Deleting or deactivating a policy should be treated carefully when historical requests exist. Historical advance records should remain available for audit and reporting.

A completed advance remains part of history. It should not be deleted simply to allow another application; the active-advance check should exclude completed advances.